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MODEL QUESTIONS

Part-A Multiple Choice Questions

1. Cost refers to _____
   a. price
   b. value
   c. fixed cost
   d. cost of production

2. Cost functions are derived from _____ function.
   a. production
   b. investment
   c. demand
   d. consumption

3. Money cost is also known as _____ cost.
   a. explicit
   b. implicit
   c. social
   d. real

4. Explicit cost plus implicit cost denote _____ cost.
   a. social
   b. economic
   c. money
   d. fixed

5. Explicit costs are termed as
   a. out of pocket expenses
   b. real cost
   c. social cost
   d. sunk cost

6. The costs of self–owned resources are termed as _____ cost.
   a. real
   b. explicit
   c. money
   d. implicit

7. The cost that remains constant at all levels of output is _____ cost.
   a. fixed
   b. variable
   c. real
   d. social

8. Identify the formula of estimating average variable cost.
   a. TC/Q
   b. TVC/Q
   c. TFC/Q
   d. TAC/Q

9. The cost incurred by producing one more unit of output is_____cost.
   a. variable
   b. fixed
   c. marginal
   d. total

10. The cost that varies with the level of output is termed as _____ cost.
    a. money
    b. variable cost
    c. total cost
    d. fixed cost